



Increasing the Revenue for

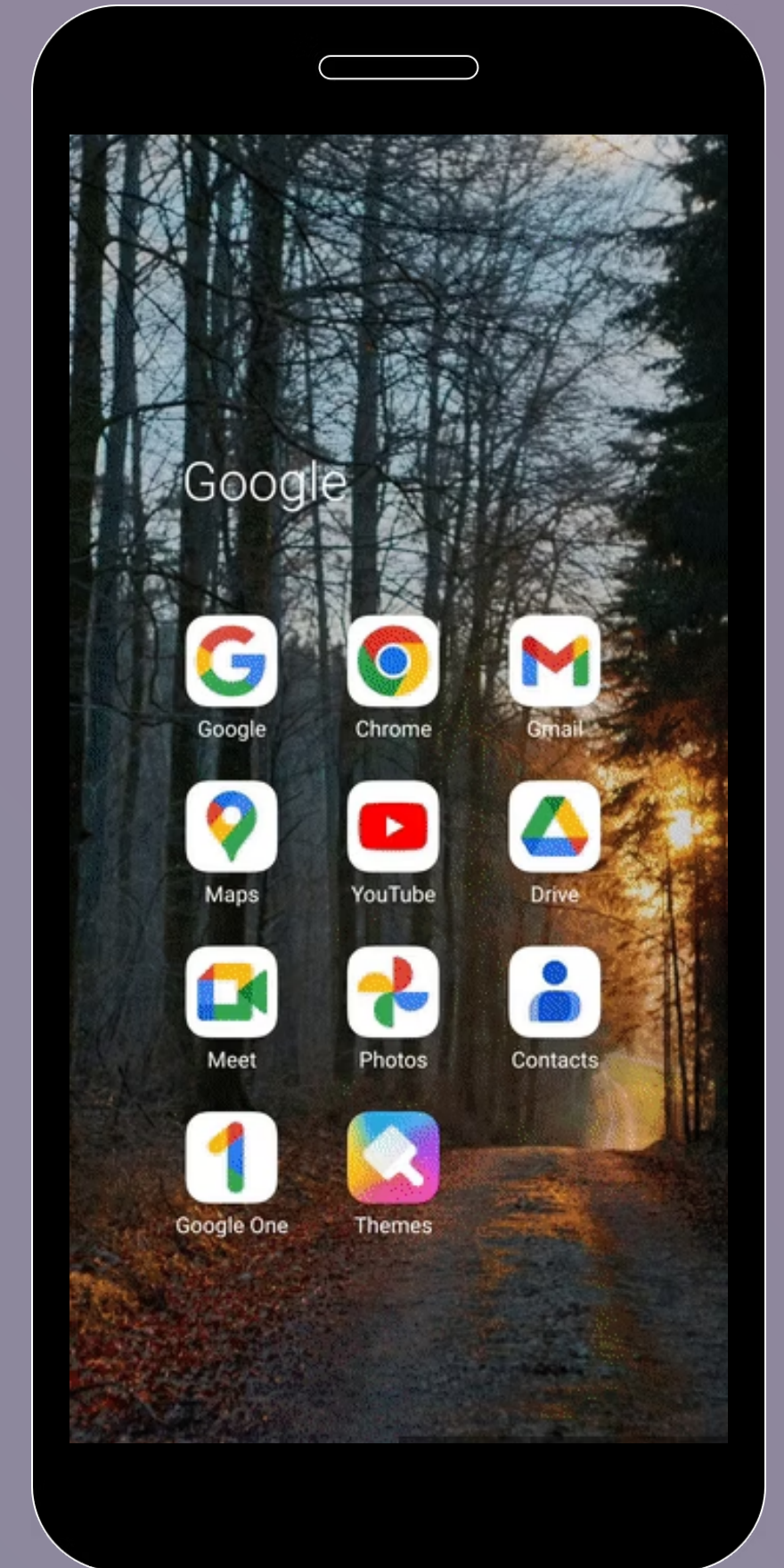
YOU TUBE

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Agenda

✦ What is YouTube?

✦ YouTube Stats

✦ User Persona

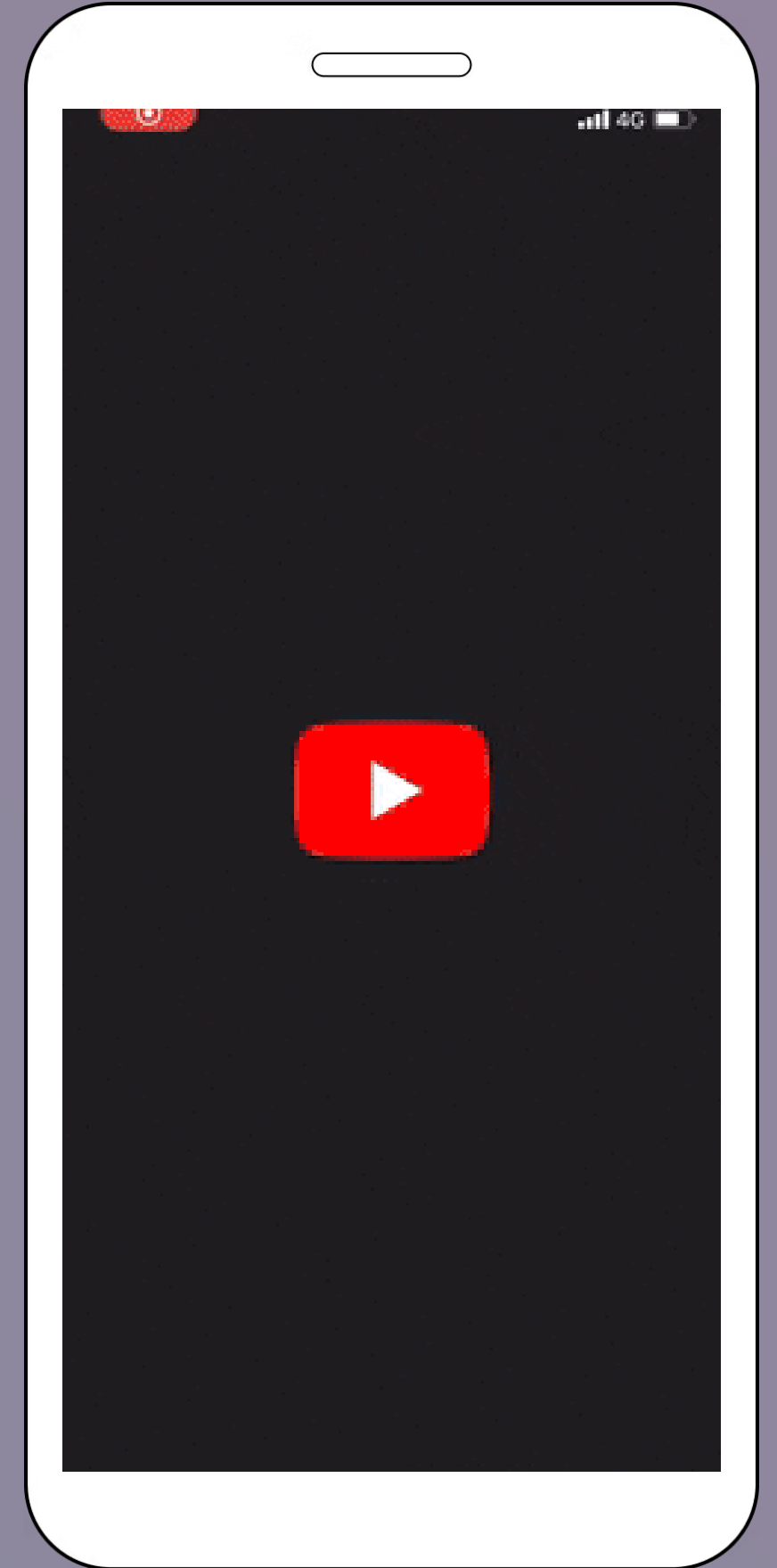
✦ Pain Points

✦ Solution Space

✦ Wireframe

✦ Success Metrics

✦ Q & A





What is YouTube?



YouTube is the world's largest video-sharing platform, where users can upload, view, and share videos.

Launched in 2005, it offers a vast array of content namely:

- Entertainment
- Education
- News
- User-generated videos

YouTube's revenue comes from ads and YouTube Premium, offering ad-free content and exclusives.



You**Tube** Stats

2.5 billion
Global viewer

694K hours
Video
watched
each minute

3.7 million
Daily video
uploads
occur

8.8 billion
Visits
monthly

\$31.51 billion
annually in
ad revenue

Ads reach
30.9% world
population

80 million
Subscribers
to YouTube

India:
462 million
users



Arjun Mehta - The Mobile Viewer

User Persona 1

- Age: 22
- Occupation: College Student
- Location: Mumbai, India
- Device Usage: Primarily uses a smartphone
- Content Preferences: Music videos, educational content, and entertainment (movies, web series)
- Usage Pattern: 15 hours per week, mostly during commutes and breaks between classes.

Goals:

1. **Affordable Ad-Free Experience:** Arjun wants an ad-free, personalized content experience without the high cost of YouTube Premium, which he finds too expensive for his student budget.
2. **Quick Access to Relevant Content:** Arjun seeks a streamlined experience with quick access to content that fits his interests, avoiding ads and irrelevant suggestions.



Priya Sharma - The Family Entertainer

User Persona 2

- Age: 35
- Occupation: Homemaker
- Location: Delhi, India
- Device Usage: Smart TV and smartphone
- Content Preferences: Cooking shows, family vlogs, kid's content, religious content
- Usage Pattern: 20 hours per week, mainly in the evening with family.

Goals:

1. **Affordable Ad-Free Options:** Priya finds YouTube Premium too expensive and seeks a more budget-friendly ad-free alternative that maintains essential features.
2. **Content Overload:** Priya finds YouTube's content overwhelming and wants easier access to quality videos for her children.



Rajesh Gupta - The Professional Knowledge Seeker

User Persona 3

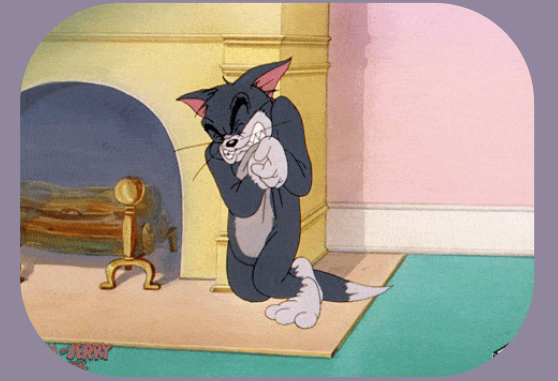
- Age: 40
- Occupation: IT Professional
- Location: Bangalore, India
- Device Usage: Laptop and smartphone
- Content Preferences: Tech tutorials, industry webinars, and motivational talks
- Usage Pattern: 10 hours per week, typically during work breaks or on weekends.

Goals:

1. **Content Discovery:** Rajesh seeks more relevant content, as YouTube's recommendations often miss the mark.
2. **Customization:** Rajesh wants greater control to filter out irrelevant content and receive better recommendations tailored to his professional interests.



User **Pain Points** : Identifying **Key Problems**



Ad Experience

Interruptive Ads:

Frequent ads disrupt the viewing experience, especially during longer videos.

Non-Skippable Ads: Non-skippable ads lead to frustration among viewers.

Repetitive Ads: Same ads shown repeatedly, reducing the variety and increasing annoyance.

Content Discovery

Irrelevant

Recommendations: Users sometimes receive content recommendations that do not align with their interests, leading to dissatisfaction.

Content Overload: The sheer volume of content makes it difficult for users to find what they are truly interested in.

Lack of Affordable Ad-Free Options

High Cost of YouTube Premium:

For many users, YouTube Premium is perceived as expensive, especially for those primarily interested in removing ads.

Limited Options: There's no middle ground between the free ad-supported plan and the costly Premium plan.



Solution Space

Membership Segmentation

YouTube Free : The standard, ad-supported version of YouTube with all current features.

YouTube Pro : A new, low-cost plan offering an ad-free experience but without Premium's additional benefits like offline downloads and YouTube Originals.

YouTube Premium : The current Premium plan with all-inclusive features at the standard price.

Improved Content Discovery

Personalized Home Feed :

Enhance the algorithm to better match the user's viewing history and preferences, reducing irrelevant recommendations.

Content Categories : Introduce customizable categories on the homepage, where users can select genres of interest to see more relevant content.

Enhanced Ad Experience

Ad Frequency Control: Allow users to select their preferred ad frequency within the Free plan, offering fewer ads in exchange for voluntary surveys or other engagement metrics.

Variety in Ads: Increase the variety of ads shown to reduce repetition and ad fatigue.



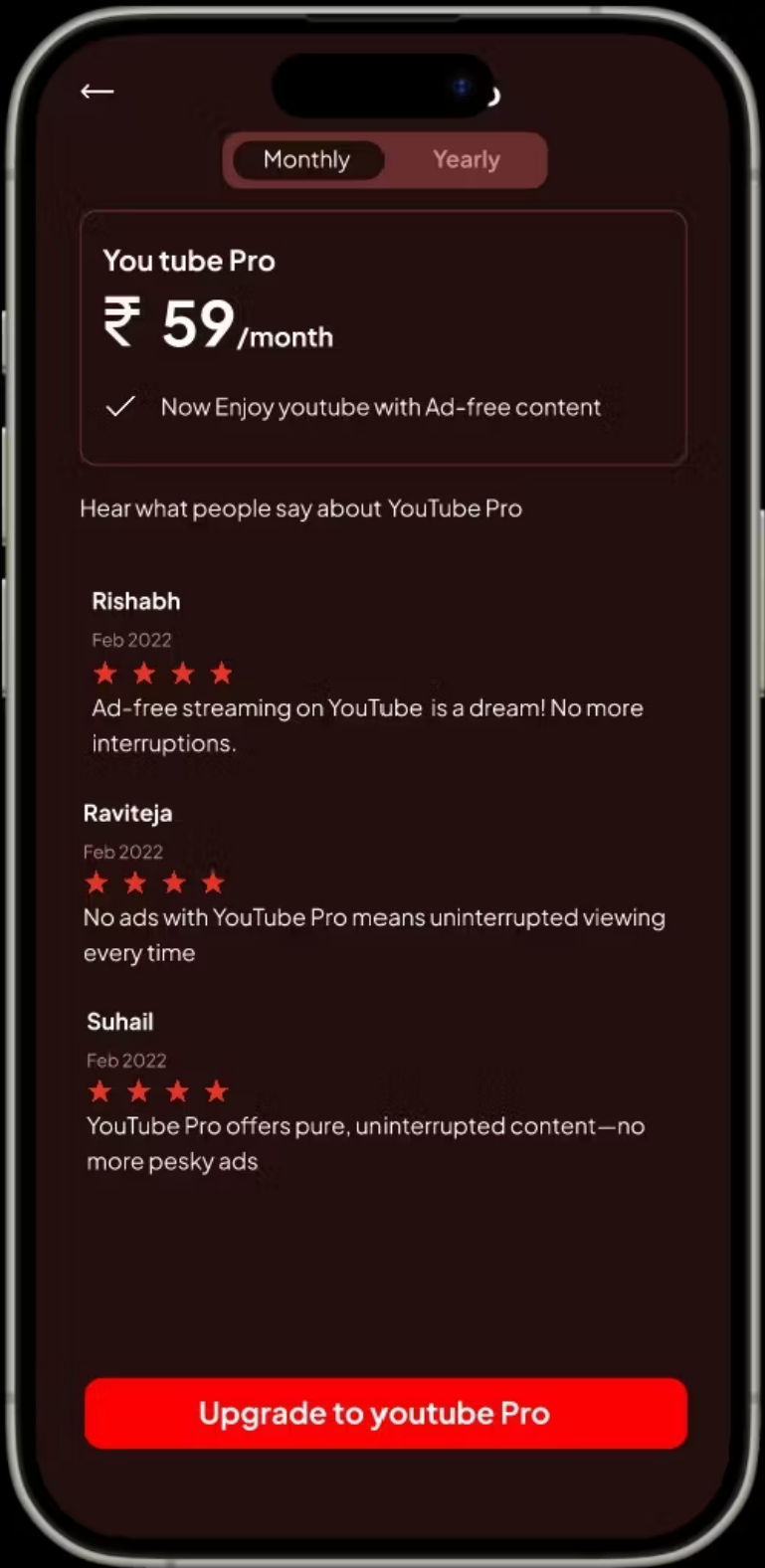
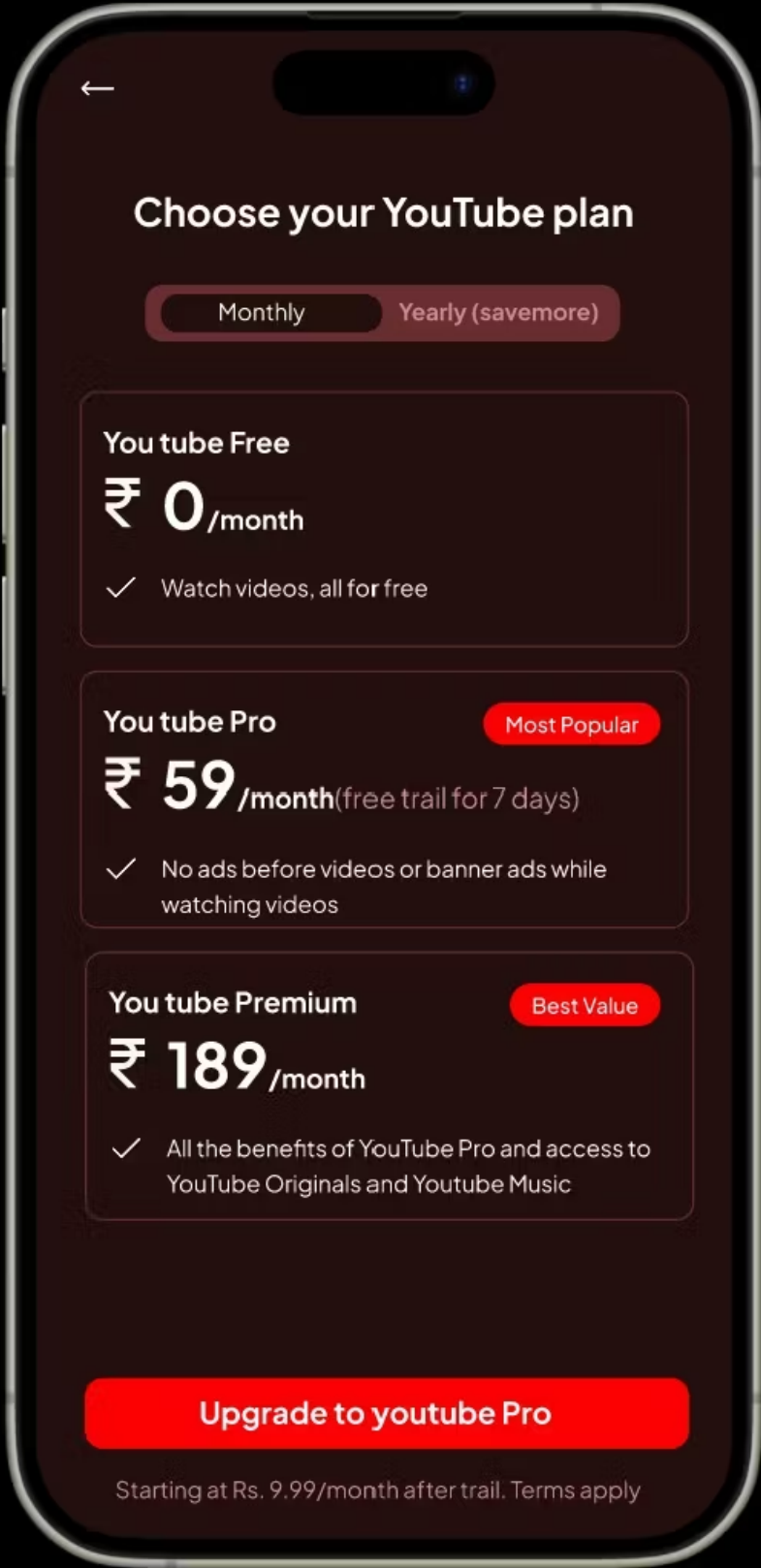
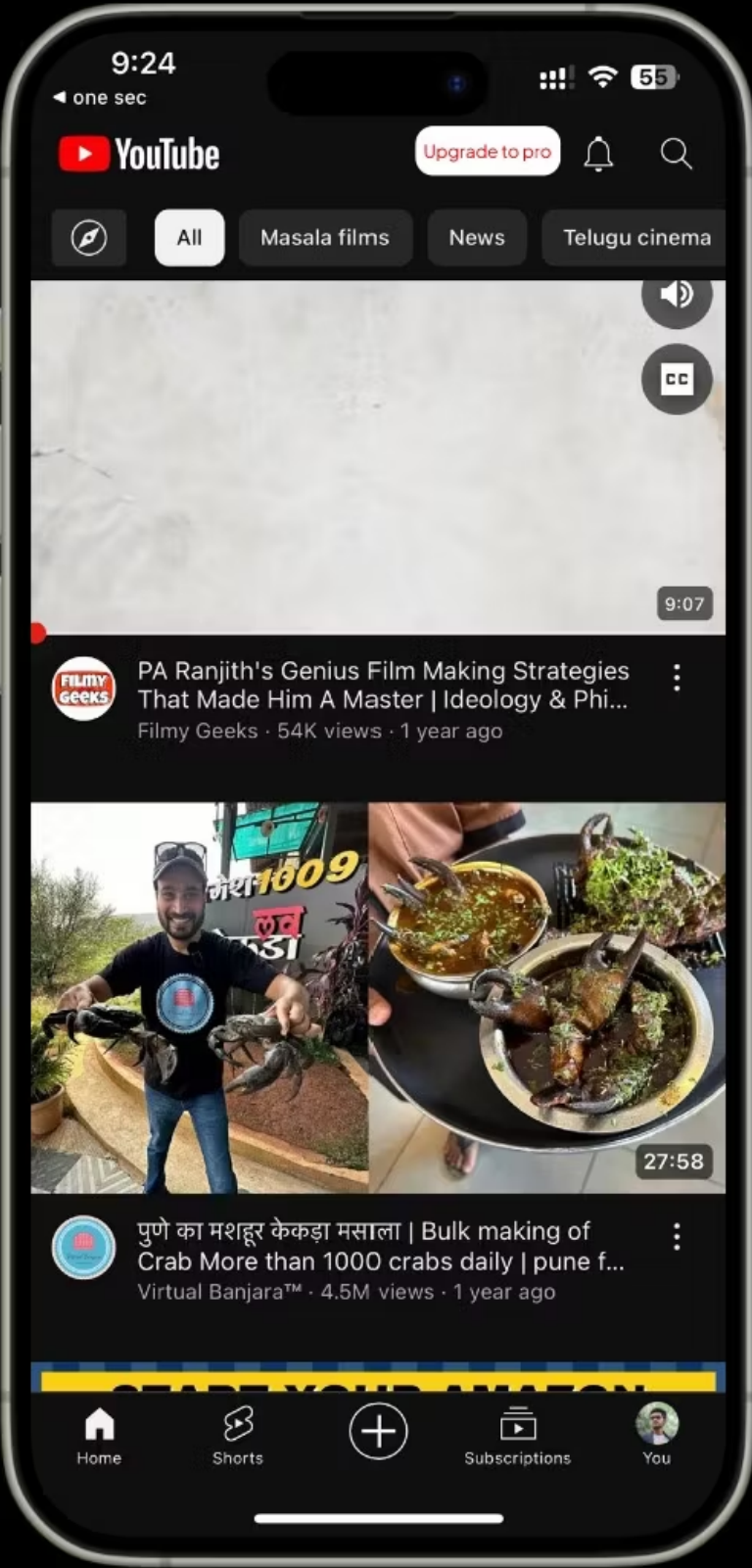
Solution Prioritization

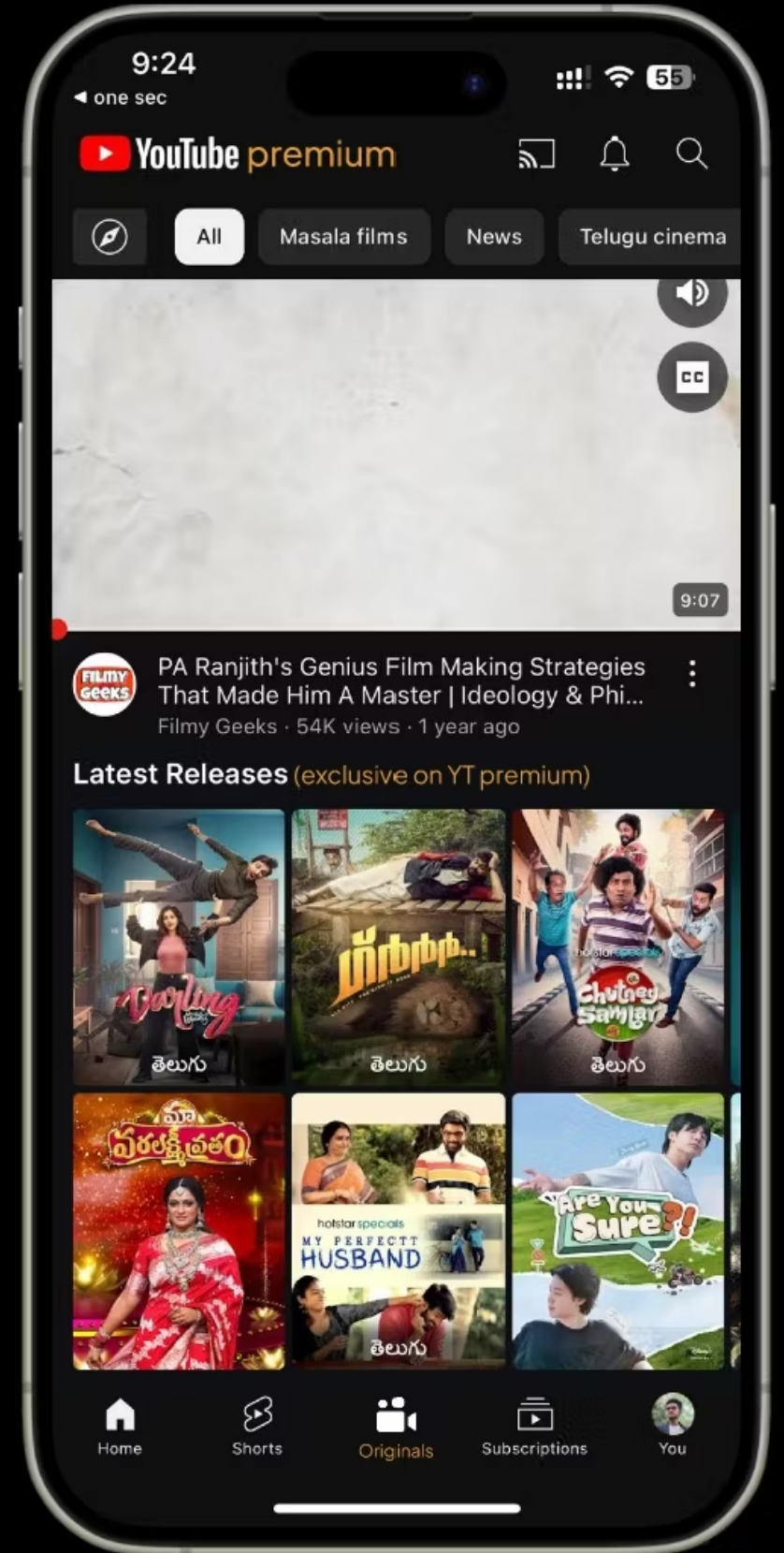
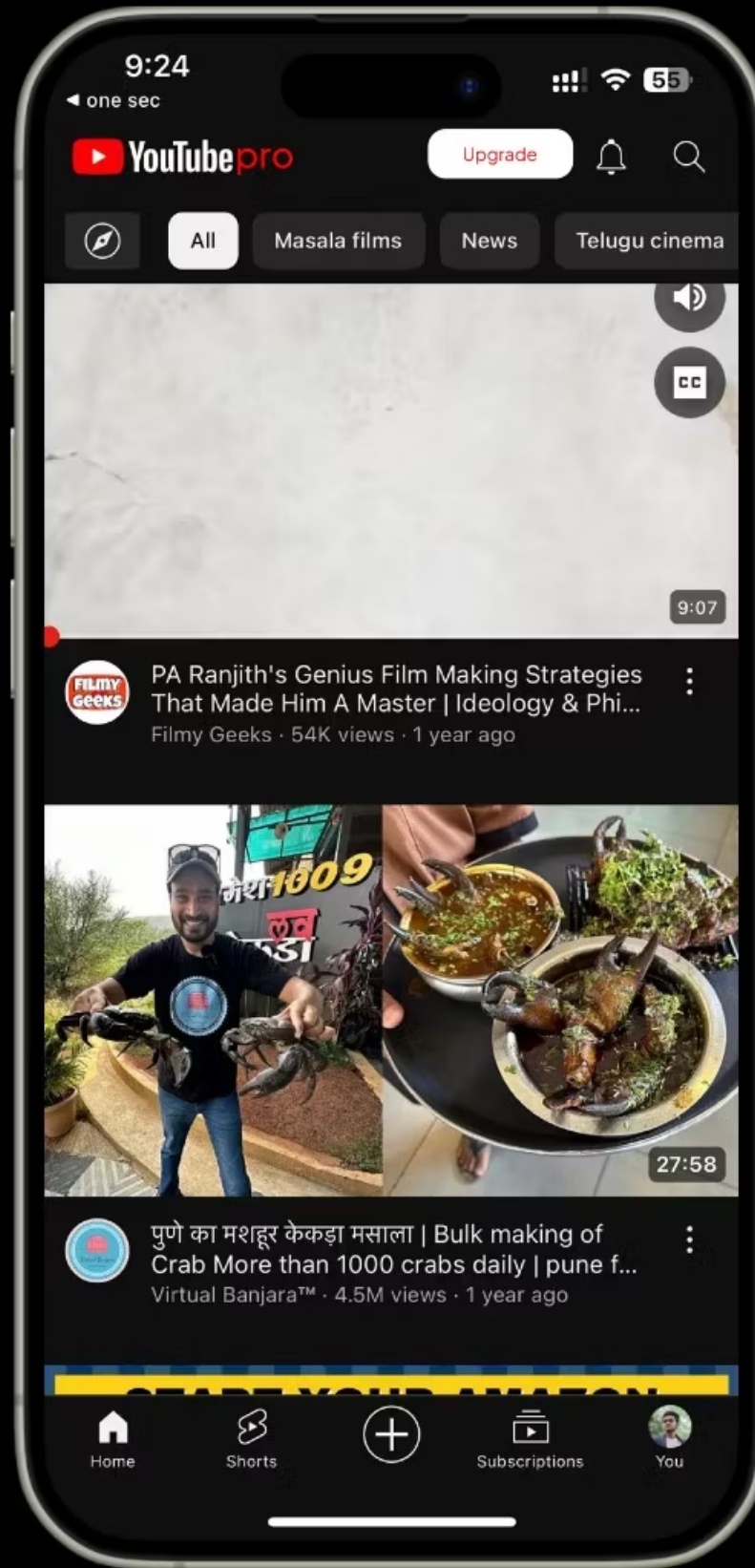
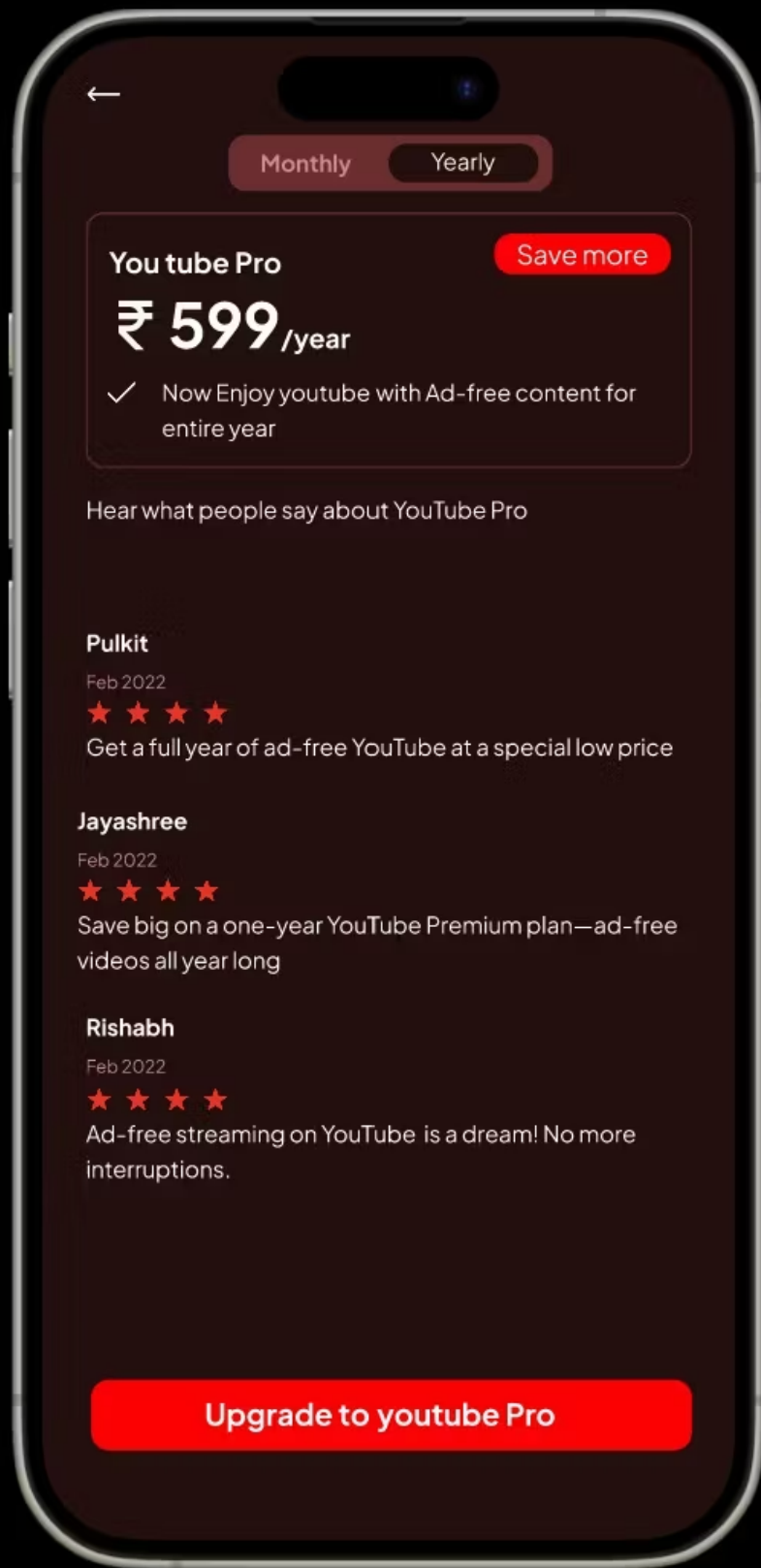
Problem	Solution	Impact	Effort	Priority
Content Discovery	Improved Content Discovery	Medium	High	Medium
High Cost of YouTube Premium	YouTube Pro Plan	High	Medium	High
Repetitive Ads	Enhanced Ad Experience	Medium	Low	Medium
Irrelevant Recommendations	Personalized Home Feed	Medium	High	Medium



Wireframe of Membership plans

Wireframe Link







Sucess Metrics

Metrics	About	Target
Subscription Growth Rate	Increase in subscribers to YouTube Pro and YouTube Premium.	15% increase in Pro plan subscribers within the first quarter.
Ad Revenue Impact	Measure the impact on ad revenue from users switching from YouTube Free to YouTube Pro.	Minimal decline in ad revenue while increasing subscription-based revenue.
User Satisfaction (CSAT)	Improvement in customer satisfaction scores, particularly around ad experience.	20% increase in satisfaction scores related to ad frequency and variety.
Churn Rate Reduction	The churn rate decreased among YouTube Premium users due to more affordable YouTube Pro options.	10% reduction in churn rate within six months.
Engagement Metrics	Increase in average session duration and the number of videos watched per session due to reduced ad interruptions.	10% increase in both metrics



Q&A



How will the introduction of YouTube Pro affect the overall revenue from ads?



The goal is to balance the reduction in ad revenue with an increase in subscription revenue, ensuring that overall revenue continues to grow.



What if users don't subscribe to YouTube Pro or Premium?



The plan includes retaining a strong ad-supported model with enhanced ad experiences to maintain and potentially increase revenue from non-subscribers.



How will YouTube manage the risk of cannibalizing its Premium subscribers with a lower-cost Pro plan?



The Pro plan is designed to attract users who are primarily looking for an ad-free experience, while the Premium offers a comprehensive package, including offline downloads, access to YouTube Music, YouTube Originals, and exclusive content, catering to a different segment of users.

Feedback!



Thank you



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